

Topic 5: Globalisation

5.1 What is Globalisation?

Globalisation: The increasing interconnection and interdependence of the world's economies, cultures, and populations, driven by trade in goods and services, flows of investment and capital, technology transfer, information exchange, and migration. It is a multidimensional process that has accelerated dramatically since the 1980s, fundamentally reshaping how people, places, and economies interact across borders.

Dimensions of Globalisation

- **Economic globalisation** — growth of international trade (global trade: \$25 trillion/yr in goods, \$7 trillion in services), foreign direct investment (FDI), transnational corporations (TNCs), global financial markets, global supply chains, and the emergence of a single global marketplace.
- **Political globalisation** — increased cooperation through international governmental organisations (IGOs): UN, WTO, IMF, World Bank, EU, NATO, ASEAN. Also includes global governance frameworks (Paris Agreement, Universal Declaration of Human Rights) and supranational political structures.
- **Social/cultural globalisation** — spread of ideas, values, languages, and cultural products across borders: American media/entertainment (Hollywood, Netflix, social media), global food culture (McDonald's operates in 100+ countries), fashion brands, music genres, sporting events (FIFA World Cup, Olympics). Creates both cultural convergence and resistance.
- **Technological globalisation** — rapid spread of communications technology (internet users: 5.4 billion/67% of world), mobile phones (5.6 billion users), social media (4.9 billion users), and digital infrastructure enabling real-time global connectivity.

Measuring Globalisation: The KOF Globalisation Index

The KOF Index (Swiss Economic Institute) measures globalisation across economic (trade, FDI, portfolio investment), social (personal contacts, information flows, cultural proximity), and political (embassies,

international treaties, UN participation) dimensions. Most globalised (2023): Switzerland, Netherlands, Belgium, Sweden. Least globalised: many Sub-Saharan African and Pacific Island states. The index reveals that globalisation is deeply uneven — some countries and regions are far more connected than others.

5.2 Causes and Acceleration of Globalisation

Transport Revolution

Development	Date	Impact on Globalisation
Containerisation	1956 onwards	Standardised shipping containers (TEUs) reduced loading time from days to hours, cut transport costs by 90%. ~90% of world trade now travels by container ship. The largest ships carry 24,000 TEUs. Maersk, MSC, and CMA CGM dominate global shipping.
Jet aircraft	1950s onwards	Rapid long-distance travel for business and tourism. Air freight for high-value perishable goods (Kenyan flowers reach European supermarkets within 48 hours). 4.5 billion air passengers/yr (2019, pre-COVID).
Supertankers and bulk carriers	1960s onwards	Enabled cheap long-distance transport of oil, gas, minerals, and grain. Economies of scale reduced per-unit transport costs.

Communications Revolution

Development	Impact on Globalisation
Internet and fibre optic cables	1.4 million km of submarine fibre optic cables carry 99% of intercontinental data. Enables instant global communication, e-commerce (\$5.8 trillion in 2023), cloud computing, and offshore service industries. The internet has created a "borderless" information space.
Mobile phones	5.6 billion users globally (2024). In LIDCs, mobile phones leapfrogged landline infrastructure. M-Pesa mobile banking in Kenya (2007): 50+ million users across

	Africa, enabling financial inclusion without bank branches. Smartphone access connects rural communities to global markets.
Social media	4.9 billion users. Platforms (Facebook, Instagram, TikTok, WhatsApp, WeChat) enable real-time cultural exchange, political mobilisation, and business networking across borders. TikTok has 1.5 billion monthly active users.
Satellite technology	GPS navigation, global TV broadcasting, remote sensing, and satellite internet (Starlink: 6,000+ satellites providing broadband to remote areas).

Trade Liberalisation and International Organisations

- **WTO (World Trade Organization)** — promotes free trade by negotiating reductions in tariffs and trade barriers. 164 member states covering 98% of world trade. Average tariffs have fallen from ~40% (1947) to ~5% today.
- **IMF (International Monetary Fund)** — provides loans to countries in financial crisis, conditional on "structural adjustment" (privatisation, deregulation, trade liberalisation). Criticised for imposing Western economic models on developing countries.
- **World Bank** — provides development loans and grants to LICs. Criticised for funding large infrastructure projects (dams, roads) that may cause environmental damage and displacement.
- **Trade blocs** — regional groups that reduce internal trade barriers: EU (single market: free movement of goods, services, capital, labour), NAFTA/USMCA (USA, Canada, Mexico), ASEAN (10 SE Asian nations), African Continental Free Trade Area (AfCFTA, 2021: 54 countries, potentially the world's largest free trade area).
- **Bilateral Free Trade Agreements (FTAs)** — agreements between two countries to reduce tariffs. The UK signed FTAs with 72 countries post-Brexit.

5.3 Transnational Corporations (TNCs)

Transnational Corporation (TNC): A company that operates in two or more countries, with headquarters typically in an HIC and production/operations spread across multiple countries. TNCs are the primary agents of economic globalisation. The 100 largest TNCs control ~4% of global GDP and employ millions worldwide. Examples: Apple, Samsung, Toyota, Unilever, Nestle, Amazon, Shell, Walmart.

Why TNCs Locate in Different Countries

- **Cheaper labour** — manufacturing in countries with lower wages (Bangladesh garment workers earn ~\$95/month vs ~\$2,000/month in the UK). Reduces production costs and increases profit margins.
- **Access to raw materials** — mining companies (Rio Tinto, Glencore) operate where resources are located (DRC: cobalt, Chile: copper, Nigeria: oil).
- **Access to markets** — locating production near large consumer markets reduces transport costs and tariffs. Toyota manufactures in 28 countries to serve local markets.
- **Lower environmental regulations** — some TNCs locate polluting operations in countries with weaker environmental standards ("pollution havens").
- **Tax advantages** — some countries offer low corporate tax rates, tax holidays, or special economic zones (SEZs) to attract FDI. Ireland's 12.5% corporate tax rate attracted Apple, Google, and Facebook's European headquarters.
- **Government incentives** — subsidies, infrastructure provision, relaxed planning regulations, and investment in workforce training.

Impacts of TNCs

	Positive Impacts	Negative Impacts
Economic	Job creation, FDI, tax revenue, technology transfer, infrastructure development, integration into global economy, higher wages than local alternatives	Profit repatriation to home country, tax avoidance (transfer pricing), dependency on single employer, competition destroys local businesses, volatile investment (can relocate quickly)
Social	Skills training, improved working conditions (in some cases), consumer choice, cultural exchange	Poor working conditions in some supply chains (sweatshops), exploitation of workers (long hours, low pay, child labour), loss of local culture, widening inequality between TNC employees and others

Environmental	Transfer of cleaner technology, environmental standards from home country applied globally (sometimes)	Pollution, deforestation, resource extraction damage, carbon emissions from global supply chains, "race to the bottom" in environmental standards
----------------------	--	---

Case Study: Apple — Global Supply Chain

Apple (headquartered in Cupertino, California, USA) is the world's most valuable company (~\$3 trillion market capitalisation). Its iPhone illustrates extreme globalisation of production. **Design:** USA (California). **Components:** sourced from 40+ countries — processors (TSMC, Taiwan), memory chips (Samsung, South Korea), camera lenses (Sony, Japan), minerals (DRC: cobalt for batteries, often mined by child labour in artisanal mines), glass (Corning, USA/Japan). **Assembly:** primarily Foxconn factories in China (Zhengzhou factory employs 350,000 workers; nicknamed "iPhone City"). **Positive impacts:** 2.4 million jobs supported in Apple's supply chain globally; technology transfer; Foxconn wages are above Chinese minimum wage. **Negative impacts:** Foxconn criticised for excessive overtime (up to 60 hrs/week), dormitory living conditions, and worker suicides (anti-suicide nets installed 2010); cobalt mining involves child labour and environmental destruction in DRC; Apple avoided ~\$65 billion in US taxes through Irish subsidiary structures (subsequently ruled illegal by EU). Apple's global supply chain demonstrates both the efficiency of globalised production and its social/ethical costs.

Case Study: Unilever in Indonesia — TNC in a Developing Country

Unilever (British TNC, formerly Anglo-Dutch; HQ London since 2020) operates in 190+ countries, including major operations in Indonesia (population 275 million). Unilever Indonesia employs 6,000 directly and supports 500,000+ in its supply chain (palm oil farmers, distributors, retailers).

Positive impacts: significant employer and taxpayer, skill development, infrastructure investment, supports smallholder palm oil farmers through supply chain programmes, provides affordable consumer products (soap, shampoo, food) that improve health and hygiene. **Negative impacts:** palm oil supply chain linked to deforestation (Indonesia lost 26 million hectares of forest 2001–2022, partly for palm oil), habitat destruction (orangutan population declined 50%), peatland drainage (releasing stored carbon), land disputes with indigenous communities. Unilever has committed to "deforestation-free" supply chains by 2023 but monitoring remains challenging. The case illustrates how TNCs can simultaneously drive economic development and environmental destruction.

5.4 International Trade and Global Inequality

Patterns of Trade

Global trade is dominated by HICs and emerging economies. The USA, China, and EU account for ~45% of world trade. LIDCs account for less than 2% of global exports. Many LIDCs remain dependent on primary commodity exports (agricultural products, minerals, oil) with low value-added, making them vulnerable to price volatility. Terms of trade (the ratio of export prices to import prices) have generally declined for primary commodity exporters over time, widening the development gap.

Trading Relationships and Inequality

- **Dependency theory** — argues that the global economic system structurally disadvantages LIDCs, which are locked into exporting cheap raw materials while importing expensive manufactured goods. Wealth flows from periphery (LIDCs) to core (HICs). Frank (1966), Wallerstein (1974).
- **Fair trade** — a movement to ensure producers in LICs receive a minimum guaranteed price, social premium for community development, and better working conditions. Fair Trade certified products (coffee, cocoa, bananas, cotton) generated \$12 billion in sales (2022). Criticised for limited scale (covers only ~1% of global trade), high certification costs for small farmers, and unclear evidence of significant poverty reduction.
- **Special Economic Zones (SEZs)** — designated areas with favourable conditions for foreign investment: reduced taxes, streamlined regulations, improved infrastructure. China's SEZs (Shenzhen established 1980) were central to its economic transformation. Shenzhen grew from a fishing village (30,000 people, 1979) to a global technology hub (17.5 million, 2024, GDP \$500+ billion).

5.5 Cultural Globalisation

Cultural Diffusion and Homogenisation

- **Westernisation/Americanisation** — the spread of Western (particularly American) culture, values, and consumer brands globally. McDonald's (40,000+ restaurants in 100+ countries), Coca-Cola, Nike, Hollywood films, English language dominance. Creates what George Ritzer called **"McDonaldisation"** — the principles of efficiency, calculability, predictability, and control spreading to all aspects of society.

- **Cultural erosion** — local languages, traditions, foods, and arts displaced by global brands and media. ~50% of the world's 7,000 languages are endangered. Indigenous cultures particularly vulnerable.
- **Glocalisation** — the adaptation of global products to local cultures. McDonald's serves McAloo Tikki in India, Teriyaki burgers in Japan, McArabia in the Middle East. TNCs modify products to suit local tastes while maintaining global brand identity.
- **Cultural resistance** — backlash against cultural homogenisation. France's quotas on French-language content in media; protectionism for local film industries (South Korea); indigenous rights movements; anti-globalisation protests. Cultural globalisation is not simply one-directional.
- **Reverse cultural flows** — non-Western cultures influencing globally: Bollywood (India's film industry produces more films annually than Hollywood), K-pop (BTS, Blackpink), anime/manga (Japan), yoga, cuisine (Thai, Japanese, Mexican food globalised).

5.6 Challenges and Tensions of Globalisation

Winners and Losers

Winners	Losers
TNCs and their shareholders (record corporate profits)	Workers in HICs whose jobs were outsourced to cheaper locations (US "Rust Belt" manufacturing decline)
Consumers (wider choice, lower prices)	Workers in LIC sweatshops (low wages, poor conditions, limited rights)
Emerging economies that attracted FDI (China, India, Vietnam, Bangladesh)	Countries bypassed by globalisation (many LIDCs in Sub-Saharan Africa)
Global middle class (expanded from 1 billion to 4 billion since 1990)	The environment (increased carbon emissions, deforestation, resource depletion, pollution)
Skilled/mobile workers who benefit from global labour markets	Local cultures and languages displaced by global homogenisation

Anti-globalisation and Deglobalisation

Globalisation has generated significant backlash:

- **Brexit (2016)** — UK voted to leave the EU, partly driven by concerns about immigration, sovereignty, and the impact of globalisation on communities left behind.
- **Trump's trade wars (2018–)** — US imposed tariffs on Chinese goods, challenging free trade orthodoxy. "America First" policies reflected anti-globalisation sentiment.
- **COVID-19 (2020)** — exposed vulnerabilities of global supply chains (PPE shortages, vaccine inequality). Led to "reshoring" and "nearshoring" discussions.
- **Russia-Ukraine war (2022)** — demonstrated risks of economic interdependence. Europe's gas dependency on Russia became a security vulnerability. Sanctions and decoupling accelerated.
- **Environmental movements** — Extinction Rebellion, Fridays for Future, and anti-fast-fashion campaigns challenge the environmental costs of globalised production and consumption.

Case Study: India — Globalisation's Impact on an Emerging Economy

India liberalised its economy in 1991 (removing trade barriers, opening to FDI, deregulating industries). **Results:** GDP grew from \$266 billion (1991) to \$3.7 trillion (2024), making India the world's 5th largest economy. 270 million people lifted out of extreme poverty (1990–2015). India became a global hub for IT services and business process outsourcing (BPO): Bangalore, Hyderabad, and Pune host operations for Google, Microsoft, Infosys, and TCS. India's IT sector generates \$245 billion in revenue (2024) and employs 5.4 million. **However:** inequality has widened dramatically (India's richest 1% own 40% of national wealth); 228 million Indians remain in extreme poverty; rural-urban divide persists; environmental costs include severe air pollution (Delhi, Mumbai regularly exceed WHO limits by 10x), groundwater depletion, and river pollution. India's experience shows globalisation can drive rapid growth but does not automatically reduce inequality or protect the environment.

Exam Tip: Edexcel globalisation questions frequently ask you to evaluate. Structure: thesis (clear argument), supporting evidence from named case studies, counterarguments, and judgement. For example: "Globalisation has created more winners than losers. Discuss." Address economic winners (TNCs, consumers, emerging economies) AND losers (displaced workers, exploited labour, environment), use specific data (China lifted 800 million from poverty 1978–2020; BUT global CO₂ emissions doubled in the same period), and reach a nuanced conclusion.

Exam Tip: When discussing TNCs, always consider BOTH the host country and home country impacts, and distinguish between short-term and long-term effects. A TNC factory may create jobs (positive) but those jobs may be low-skilled, low-paid, and insecure (negative). Technology transfer is positive but profit repatriation limits the economic multiplier effect. Balanced evaluation with specific examples is essential.

Exam Tip: Edexcel values the concept of "switched on" and "switched off" places. Global flows of trade, investment, people, and ideas connect some places to the global economy ("switched on": London, Singapore, Shanghai) while bypassing others ("switched off": rural Sub-Saharan Africa, remote Pacific islands). Globalisation is inherently uneven and creates spatial inequality at every scale.

5.7 Nike, Fast Fashion, and Global Supply Chains

Case Study: Nike — Global Production and Labour Exploitation

Nike (founded 1964, Oregon, USA) is the world's largest athletic footwear and clothing company, with revenues of \$51 billion (2023) and a brand value of \$33 billion. It employs only ~80,000 people directly, but its supply chain encompasses 500+ factories in 40+ countries employing over 1 million workers. **Global geography of production:** Manufacturing is overwhelmingly in Asia — Vietnam (49% of footwear), Indonesia (27%), China (17%), with smaller operations in Thailand, Cambodia, Bangladesh, and India. **Why this geography?** Labour costs in Vietnam (\$220/month average in apparel sector) are a fraction of US rates (\$2,500+/month). Weaker labour laws, lower environmental standards, government incentives, and existing textile industry clusters further reduce costs. Nike itself designs and markets; it contracts all manufacturing to independent suppliers, limiting direct legal liability. **Labour conditions — critical view:** the 1990s "Nike sweatshop" scandal revealed factory workers (predominantly young women) worked 10–14 hour shifts, 6 days/week; verbal abuse and forced overtime were documented; wages insufficient for basic living costs. The Global Alliance (2001) found 30% of Indonesian Nike workers reported verbal abuse. Child labour was documented in some subcontractor facilities in Pakistan (football stitching). **Nike's response:** established a Code of Conduct in 1992 (minimum age, health and safety, no forced labour), created an internal audit system (factory inspections), and published a full factory disclosure list (first major TNC to do so). Nike's "Considered Design" initiative aims for

100% sustainable materials. **Continuing criticisms:** NGOs (including Worker Rights Consortium) argue auditing is superficial; brands negotiate prices too low to pay living wages while demanding fast turnaround; supplier factories subcontract to uninspected units; the fundamental model of fast fashion requires exploitative labour economics. **Geographical significance:** Nike's supply chain geography shifts as labour costs rise (China → Vietnam → potentially Ethiopia and Bangladesh). This "race to the bottom" dynamic means TNCs constantly seek the cheapest labour, leaving communities dependent on footwear manufacturing vulnerable to relocation when wages improve.

5.8 Special Economic Zones and the Shenzhen Model

Special Economic Zone (SEZ): A geographically defined area within a country where different economic rules apply — typically reduced taxation, streamlined regulations, customs privileges, and improved infrastructure — to attract foreign direct investment and stimulate economic activity. China pioneered the modern SEZ model, establishing four zones in 1980: Shenzhen, Zhuhai, Shantou, and Xiamen.

Case Study: Shenzhen Special Economic Zone — From Fishing Village to Global Tech Hub

Shenzhen is the most dramatic urban transformation story in history, making it essential knowledge for Edexcel globalisation. **Before SEZ (1979):** a collection of fishing villages and agricultural land, population ~30,000, GDP per capita comparable to Sub-Saharan Africa. Located adjacent to Hong Kong, then a British colony. **SEZ designation (1980):** Deng Xiaoping selected Shenzhen as one of four pilot SEZs for China's "Opening Up" policy. The SEZ offered: zero import duties on raw materials, low corporate tax (15% vs 33% nationally), land leases to foreign companies, flexible labour markets, and streamlined bureaucracy. **Growth trajectory:** Population grew from 30,000 (1979) to 500,000 (1986) to 7 million (2000) to 17.5 million (2024). GDP grew from virtually zero to \$500+ billion, ranking alongside Singapore and Hong Kong. **Economic structure:** Initially attracted labour-intensive manufacturing (electronics assembly, textiles, toys). By the 2000s, transitioned to high-technology manufacturing. Foxconn's Longhua complex ("Foxconn City") has employed hundreds of thousands of workers in a self-contained campus with dormitories, hospitals, and sports facilities. Today, Shenzhen is China's Silicon Valley: home to Huawei (telecom equipment, 5G), Tencent (WeChat, gaming, \$500 billion company), BYD (electric vehicles), DJI (60% of global civilian drone market), and ZTE. Shenzhen files more international

patents than most countries. **Social impacts:** massive rural-urban migration from all over China (Shenzhen is 95%+ migrants; fewer than 1 in 20 residents are original locals). Migrant workers hold *hukou* (household registration) from home provinces, limiting access to Shenzhen's education and social services. Working conditions varied: Foxconn's 2010 worker suicide crisis (18 attempts, 14 deaths; suicidal young workers overwhelmed by 12-hour shifts and dormitory isolation) shocked the world. **Environmental impacts:** rapid industrialisation caused severe air, water, and soil pollution. The Shenzhen River (bordering Hong Kong) became heavily polluted with factory effluent. Urban expansion destroyed coastal mangroves and farmland. However, Shenzhen has invested heavily in urban greening (40% green space) and became one of China's first cities to fully electrify its bus fleet (16,000 electric buses). **Lessons:** The Shenzhen model demonstrates that SEZs can catalyse extraordinary economic growth and lift millions from poverty, but success depends on geographic advantage (proximity to Hong Kong, sea ports), political commitment, scale of investment, and willingness to accept significant social and environmental costs. Replication in other LIDCs (Ethiopia's Hawassa Industrial Park modelled on Shenzhen) has had mixed results.

Global SEZ Landscape

Country	SEZ Example	Key Activity	Outcome
China	Shenzhen, Pudong (Shanghai), Tianjin	Manufacturing, finance, tech	Extraordinary growth; major industrial power
India	SEEPZ (Mumbai), Chennai SEZ	IT services, pharmaceuticals, electronics	Significant but less spectacular growth; IT sector dominant
Bangladesh	Export Processing Zones (EPZs), Chittagong	Garment manufacturing	Major garment exporter; 80% of exports, 4 million workers; but working conditions concerns
Ethiopia	Hawassa Industrial Park, Eastern Industry Zone	Garment manufacturing for export	Growing, but criticism: wages among lowest in world (~\$26/month), labour rights concerns, Chinese management issues

UAE	Dubai Free Zone, Jebel Ali	Finance, logistics, tourism	Global hub; re-export centre; 80% of GDP from non-oil sources
Ireland	Shannon Free Zone, IDA Industrial Estates	Pharma, technology, finance	European HQ for Apple, Google, Facebook; low 12.5% corporate tax was key attraction

5.9 Cultural Globalisation: Imperialism, Hybridity, and Resistance

Cultural Imperialism

Cultural imperialism: The imposition of the cultural values, products, and practices of one (typically more powerful) culture upon another, often through economic dominance or media penetration, and often at the expense of local cultures. Associated with the global spread of American and Western culture — sometimes called "Coca-Colonisation" or "Americanisation." Critics argue it is a form of neo-colonialism that persists without military force.

Evidence for cultural imperialism includes:

- **Media dominance:** Hollywood generates ~\$33 billion/yr globally, and American films account for 70%+ of the global box office. Netflix (260 million subscribers across 190 countries) produces content predominantly from an American perspective. Local film industries struggle to compete without subsidy.
- **Language:** English is now the global language of business, science, aviation, and the internet. ~55% of all websites are in English despite English speakers being only ~17% of the global population. UNESCO estimates one language dies every two weeks.
- **Consumer brands:** McDonald's (40,000+ outlets in 100+ countries), Coca-Cola (sold in every country except North Korea and Cuba), Nike, Apple, Starbucks. These brands carry American cultural values and displace local equivalents.
- **Social media:** US platforms (Facebook/Meta, Instagram, X, YouTube) and the Chinese-owned TikTok shape global discourse. Algorithms designed in Silicon Valley determine what billions of people see and discuss.

Cultural Hybridity and Glocalisation

Cultural hybridity: The mixing and blending of cultural elements from different origins to create new, hybrid forms. Rather than one culture simply replacing another, cultures interact and create something new. Championed by theorists such as Homi Bhabha and Néstor García Canclini. Examples: bhangra music (Punjabi folk + Western pop/hip-hop), British curry culture, Tex-Mex cuisine, Afrobeats (West African music + Western pop), anime-inspired Western animation.

Glocalisation: The adaptation of globally standardised products, services, or ideas to suit local cultural preferences and conditions. Roland Robertson's concept describing how global and local forces interact and produce unique local variants. Example: McDonald's serves the McAlloo Tikki (potato burger) in India, Teriyaki burgers in Japan, the Maharaja Mac (chicken, not beef) in India, McLobster rolls in Atlantic Canada, rice dishes in Southeast Asia.

Example	Global influence	Local adaptation / hybrid outcome
Music	American hip-hop and R&B	K-pop (South Korean aesthetic + US musical structure), Afrobeats (Nigerian), UK grime, Reggaeton (Latin America), Indian hip-hop
Fast food	American burger culture	McDonald's India (no beef, vegetarian options); McDonald's Japan (seasonal teriyaki, shrimp burgers); KFC China (congee, egg tarts on breakfast menu)
Television	US reality TV formats	Big Brother, Who Wants to Be a Millionaire?, Pop Idol localised in 100+ countries with local contestants, languages, cultural references
Fashion	Western clothing norms	Fusion fashion (Indian fabrics with Western cuts), Islamic modest fashion boom (\$295 billion market globally), Harajuku street fashion (Japan) influencing global trends
Sport	English football (Premier League: watched in 212 territories)	Cricket dominance in South Asia; Kabaddi, sumo, and hurling retain regional/national significance; cricket itself a colonial hybrid

Cultural Resistance to Globalisation

- **France — cultural exception:** France has the most vigorous cultural protectionism in the world. The *loi Toubon* (1994) mandates French in all official and commercial contexts. Quotas require 40% of songs on French radio to be in French. The Centre National du Cinéma subsidises French film production (~200 films/yr) and requires cinemas to show a proportion of French films. France successfully argued for "cultural exception" in WTO negotiations, exempting cultural goods from free-trade rules.
- **Iran and the Islamist alternative:** Iran's post-1979 Islamic Revolution explicitly rejected Western cultural imperialism. Alcohol, Western music (until recently), and Hollywood films are banned or heavily restricted. State TV promotes Islamic values. Satellite dishes were illegal (though widely used). Iran's resistance represents a religiously grounded rejection of Americanisation.
- **China — the Great Firewall:** China blocks Facebook, Instagram, X (Twitter), Google, YouTube, and most Western news sites. Domestic alternatives (WeChat, Weibo, Baidu, Youku) dominate under state supervision. The government actively promotes Chinese cultural values (Confucianism, "Xi Jinping Thought") through education and media. ~1.1 billion internet users remain within a separate "Chinese internet."
- **Indigenous language revitalisation:** Welsh (850,000 speakers; compulsory in Welsh schools; S4C Welsh-language TV channel), Māori (New Zealand: official language, Te Kohanga Reo language nests), Hawaiian, Catalan, and Irish are examples of local language protection against English dominance.

Exam Tip: The concept of cultural imperialism vs hybridity is contested. In an evaluation question, argue BOTH sides: yes, Americanisation is real and measurable (Hollywood dominance, English language spread, brand globalisation), BUT cultures are not passive receivers — they adapt, resist, and create new hybrid forms (K-pop, Bollywood, glocal McDonald's menus). The most nuanced answers acknowledge that cultural flows are increasingly multi-directional (K-pop, anime, Bollywood, Nigerian Afrobeats all have global audiences) and that "cultural imperialism" may oversimplify complex cultural interactions.

5.10 Anti-Globalisation and Deglobalisation in Depth

Brexit as a Reaction to Globalisation

The UK's 2016 referendum vote to leave the EU (52% Leave, 48% Remain) was partly a reaction to the perceived negative effects of globalisation. Analysis of voting patterns reveals:

- **Geographic pattern:** Leave votes concentrated in deindustrialised towns and coastal communities (Boston, Lincolnshire: 75.6% Leave; South Wales valleys; Sunderland: 61% Leave). Remain votes concentrated in major cities (London: 59.9% Remain), university towns, and Scotland.
- **Economic geography:** Areas most disrupted by deindustrialisation (manufacturing jobs offshored, local identity lost) voted most strongly Leave. These communities had not shared in the benefits of globalisation (financial sector growth, high-skilled employment) concentrated in London and the South East.
- **Immigration concerns:** EU freedom of movement meant 3.6 million EU citizens in the UK by 2019 (1.3 million in London). In smaller towns, rapid demographic change (Boston: 16% Eastern European by 2011) generated anxiety about cultural change and pressure on local services.
- **Sovereignty and control:** "Take Back Control" — the Leave campaign's slogan — resonated with those who felt that national sovereignty had been eroded by supranational EU institutions (European Parliament, ECJ, European Commission).
- **Economic outcomes of Brexit:** UK GDP estimated to be ~4-5% smaller than it would have been without Brexit (NIESR, 2023). Trade with EU down 15-16% relative to trend. Financial services activity shifted to Paris, Amsterdam, Dublin. However, UK signed FTAs with 72 countries including CPTPP (Indo-Pacific trade bloc). The debate continues about long-term consequences.

Trump Tariffs and Economic Nationalism

- **2018 Trade War:** President Trump imposed tariffs of 25% on steel and 10% on aluminium imports from most countries, and escalating tariffs on Chinese goods (up to 25% on \$250 billion of imports), citing unfair trade practices and national security. China retaliated with tariffs on \$110 billion of US goods (agriculture, aircraft, vehicles).
- **Economic rationale:** "America First" aimed to protect US manufacturing jobs (steel industry in Pennsylvania, Ohio; agriculture in Midwest). Some steel mills did reopen, but the economic assessment was mixed: US consumers paid higher prices for steel-containing goods (cars, appliances); US farmers lost Chinese market; global trade growth slowed.
- **Biden-Trump continuity:** Biden maintained most Trump tariffs on China and added new ones (EVs: 100% tariff in 2024, solar panels: 50% tariff). Bipartisan consensus that "free trade with China was a strategic mistake" has reshaped US trade policy.

- **2025 "Liberation Day" tariffs:** Trump's second term (2025) saw sweeping tariffs on all trading partners (10% baseline, higher for "unfair" traders), representing the most significant shift away from free trade since the 1930s Smoot-Hawley Act. Markets fell sharply; WTO warned of possible global recession.
- **Significance:** The shift from free trade to managed/protected trade by the world's largest economy has profound implications for globalisation. If the USA, the architect of the post-1945 free trade order, abandons free trade, the system underpinning economic globalisation is fundamentally threatened.

COVID-19 and Supply Chain Vulnerability

The COVID-19 pandemic (2020–2022) brutally exposed the vulnerabilities of hyper-globalised just-in-time supply chains:

- **PPE shortages:** 90% of world's surgical masks were manufactured in China. When China needed them domestically (early 2020), global supply collapsed. UK stockpile had been run down under austerity. This dependence on single-country sourcing was a critical strategic error.
- **Semiconductor shortage:** pandemic disrupted semiconductor production (concentrated in Taiwan: TSMC produces 90% of the world's most advanced chips); global car production cut by 7.7 million vehicles (2021), costing ~\$210 billion.
- **Vaccine nationalism:** wealthy countries (USA, UK, EU) reserved vaccine doses before availability, while LICs waited. Only 10% of Africans were vaccinated by end of 2021 despite vaccines existing. COVAX facility (WHO) aimed to address this but was underfunded.
- **Reshoring and friend-shoring:** governments and companies began "reshoring" production (bringing manufacturing home) or "friend-shoring" (moving supply chains to politically aligned countries). Intel and TSMC received US subsidies (\$52 billion CHIPS Act, 2022) to build US semiconductor factories. EU launched similar initiatives.

5.11 Worked Exam Questions

Question 1 (4 marks): Explain two reasons why TNCs locate their manufacturing in low-income countries.

Model Answer:

TNCs locate manufacturing in low-income countries primarily to reduce production costs. Labour costs are significantly lower; for example, garment workers in Bangladesh earn approximately \$95 per month compared to over \$2,000 per month in the UK. This allows TNCs such as Nike and H&M to maximise profit margins on global sales.

A second reason is weaker environmental and labour regulations, which reduce compliance costs. TNCs may locate polluting manufacturing processes in countries with less stringent environmental legislation — sometimes termed "pollution havens." For example, some electronics manufacturing in Southeast Asia involves hazardous chemical processes that would face strict regulation and high costs in HICs.

Question 2 (8 marks): Assess the view that globalisation creates more losers than winners.

Model Answer Framework:

Introduction (thesis): Globalisation creates both significant winners and losers; however, the winners tend to be concentrated among corporations, skilled workers, and consumers in HICs, while losers are often distributed among low-paid workers, displaced communities, and the environment — suggesting a broadly unequal distribution of benefits.

Winners (AO1/AO2):

- TNCs and shareholders: Apple's market capitalisation reached \$3 trillion partly due to labour cost savings from global manufacturing.
- Consumers in HICs: globalisation reduced prices of manufactured goods (TVs, clothing, smartphones) substantially.
- Emerging economies: China lifted 800 million from extreme poverty (1978–2020); India's GDP grew from \$266bn to \$3.7 trillion since liberalisation.
- Global middle class expanded from ~1 billion to ~4 billion since 1990.

Losers (AO1/AO2):

- Deindustrialised communities in HICs: US Rust Belt lost 5 million manufacturing jobs (1980–2010); UK steel communities (Redcar: 2,200 jobs lost overnight in 2015).
- Workers in global supply chains: Foxconn (Apple's manufacturer) recorded 14 worker suicides in 2010; Bangladesh garment workers earn ~\$95/month; child labour documented in DRC cobalt mines.

- Environment: global CO₂ emissions doubled between 1980 and 2023; ocean plastic pollution; deforestation for palm oil in Indonesia (26 million hectares lost 2001–2022).
- LIDCs bypassed by globalisation: Sub-Saharan Africa accounts for <2% of global trade despite having 14% of world population.

Conclusion (evaluation): While globalisation has generated aggregate global wealth, the distribution has been deeply unequal. The gains for emerging economies are real but came with environmental and social costs. The evidence suggests globalisation creates more losers in absolute terms (billions of low-paid workers, environmental systems, bypassed regions) but significant winners in economic terms (corporations, HICs). A balanced conclusion is that globalisation's outcomes depend heavily on domestic policy, governance, and access to global markets.

Question 3 (12 marks): "Cultural globalisation leads to the homogenisation of world cultures." To what extent do you agree with this view?

Model Answer Framework:

For homogenisation (thesis): There is substantial evidence that cultural globalisation, particularly Americanisation, is producing measurable convergence. McDonald's operates in 100+ countries; English dominates the internet (55% of websites); Hollywood captures 70%+ of global box office revenue; 50% of the world's 7,000 languages are endangered, partly due to the dominance of English, Spanish, Mandarin, and French. UNESCO argues that cultural diversity is genuinely threatened.

Against homogenisation (antithesis): However, the "cultural imperialism" thesis is contested. Glocalisation shows that global products adapt to local cultures (McDonald's India, Bollywood, K-pop) rather than simply replacing them. Cultural flows are increasingly multi-directional: K-pop (BTS, Blackpink), anime, Afrobeats, and Bollywood all have massive global audiences that were unimaginable in 1990. Cultural resistance (France's cultural exception policy, China's Great Firewall, Iran's Islamic media restrictions) shows that states and communities actively contest homogenisation. Cultural hybridity (bhangra, grime, Tex-Mex) creates new forms rather than erasure.

Nuanced judgement: The most accurate picture is neither simple homogenisation nor unaffected diversity. Globalisation accelerates cultural exchange and creates new hybrid forms, while

simultaneously threatening minority languages and traditions. The dominant trend is not a single "global monoculture" but a complex, unequal cultural exchange in which some cultures (American, Chinese) project more power than others. The extent of homogenisation varies by domain: consumer brands converge more than religious practice; youth culture more than family structure. A partial agreement is most defensible.

5.12 Key Statistics and Data for Exam Use

Indicator	Data
Global trade in goods	\$25 trillion/yr (WTO, 2022)
Global trade in services	\$7 trillion/yr
Internet users	5.4 billion (67% of world population, 2024)
Mobile phone users	5.6 billion (2024)
Social media users	4.9 billion (2024)
Container shipping	90% of world trade by volume; largest ships carry 24,000 TEUs
Average tariff rates	Fallen from ~40% (1947) to ~5% today (WTO)
China poverty reduction	800 million lifted from extreme poverty 1978–2020
Apple market cap	~\$3 trillion (world's most valuable company)
Foxconn employment (Zhengzhou)	350,000 workers ("iPhone City")
Shenzhen population growth	30,000 (1979) → 17.5 million (2024)
Nike global supply chain workers	1 million+ in 500+ factories, 40+ countries
US defence spending	\$886 billion/yr (39% of global total)
Brexit vote	52% Leave, 48% Remain (June 2016)

UK GDP impact of Brexit (est.)	~4-5% smaller than counterfactual (NIESR, 2023)
Languages endangered	~50% of 7,000 world languages; one dying every 2 weeks
McDonald's global outlets	40,000+ in 100+ countries
KOF most globalised countries	Switzerland, Netherlands, Belgium, Sweden (2023)

5.13 Globalisation and Development: Key Theories

Modernisation Theory (Rostow, 1960)

W.W. Rostow's "Stages of Economic Growth" (1960) argued that all countries could develop by following the same path as Western nations. He identified five stages:

1. **Traditional society** — subsistence agriculture, limited technology, fatalistic culture.
2. **Pre-conditions for take-off** — some capital accumulation, entrepreneurship, and openness to new ideas.
3. **Take-off** — rapid industrialisation, rising savings rate, key sectors lead growth. UK: 1780s; USA: 1840s; India: 1990s arguably.
4. **Drive to maturity** — diversification of economy, spread of technology, growing urban population.
5. **Age of high mass consumption** — consumer economy; services dominate; welfare states develop. Western Europe, USA, Japan.

Evaluation: Modernisation theory underpins the argument that globalisation (through FDI, trade, and technology transfer) helps LIDCs "climb the development ladder." China's trajectory from 1980 to today loosely fits stages 3–4. However, the theory is criticised for: assuming all countries must follow the Western path; ignoring structural inequalities in global trade; being used to justify IMF structural adjustment programmes; and overlooking cultural, geographic, and historical differences between countries.

Dependency Theory (Frank, 1966; Wallerstein, 1974)

Dependency theorists argue that globalisation does not develop LIDCs but actively underdevelops them. Andre Gunder Frank argued that the global economic system creates a "development of

underdevelopment" — the core (HICs) extracts wealth from the periphery (LIDCs) through unequal trade, profit repatriation, and debt.

Immanuel Wallerstein's "World Systems Theory" divided the world into:

- **Core** — HICs that own the means of production, conduct research and development, control finance, and extract profit: USA, Germany, Japan, UK.
- **Semi-periphery** — countries industrialising but still subordinate: China, Brazil, Mexico, India. They exploit periphery countries while being exploited by the core.
- **Periphery** — LIDCs providing cheap labour and raw materials: much of sub-Saharan Africa, some of South Asia. Locked into primary commodity exports with low value-added.

Evaluation: Dependency theory explains persistent inequality well (why DRC remains poor despite vast mineral wealth; why African countries export raw cocoa and import expensive chocolate). It is criticised for: being too deterministic (some periphery countries have "escaped" into the semi-periphery through industrialisation); downplaying the role of domestic governance and institutions; being associated with discredited socialist development models. The rise of China challenges simple core/periphery binaries — China acts as both a periphery manufacturer and an emerging core investor.

New International Division of Labour (Frobel et al., 1980)

The NIDL theory argues that globalisation has reorganised global production such that manufacturing (once concentrated in HICs) has relocated to LICs and NICs offering cheap labour. HICs now specialise in research, design, finance, and marketing (quaternary/quinary sector); LICs in assembly and manufacturing (secondary sector). The iPhone exemplifies the NIDL: designed in California, assembled in China, using components from South Korea, Japan, Taiwan, and DRC.

Current relevance: The NIDL is evolving as automation threatens even cheap-labour manufacturing (a robot can now assemble some electronic components faster than a human). "Reshoring" (bringing manufacturing back to HICs, using automation) and "nearshoring" (moving production to geographically closer countries) may represent a post-NIDL phase. The long-term implications for countries like Bangladesh, Vietnam, and Ethiopia that depend on labour-cost advantage in global manufacturing are deeply uncertain.

5.14 Globalisation and the Environment

Environmental Costs of Globalisation

Economic globalisation has massively increased global resource extraction, energy consumption, and waste generation. Key environmental impacts include:

- **Carbon emissions:** global CO₂ emissions grew from 22 billion tonnes (1990) to 37 billion tonnes (2023). The largest emitters are China (31%), USA (14%), EU (7%), and India (7%). International shipping and aviation (both major vectors of globalisation) account for ~5% of global emissions and are among the hardest sectors to decarbonise.
- **Deforestation:** global demand for agricultural commodities (soy, palm oil, beef, timber) drives deforestation in Brazil (Amazon), Indonesia (Borneo), and the Congo Basin. Between 2001 and 2022, Indonesia lost 26 million hectares of tree cover, partly for palm oil (which features in roughly 50% of supermarket products globally). Brazil's Amazon deforestation peaked at ~13,000 km²/yr (2021) under Bolsonaro (2019–2022) before falling under Lula.
- **Ocean pollution:** globalised production and consumption generates ~11 million tonnes of plastic entering the oceans annually. The Great Pacific Garbage Patch (between Hawaii and California) covers ~1.6 million km² — twice the size of Texas. Fishing fleets following globalised seafood supply chains have driven 34% of fish stocks to overfished levels (FAO).
- **Resource depletion:** global consumption of materials grew from 27 billion tonnes (1970) to 92 billion tonnes (2017) and is projected to double by 2060 without policy change. Critical minerals needed for the green energy transition (lithium, cobalt, rare earths) are mined in ecologically sensitive areas under often damaging conditions.

Can Globalisation Be Green?

Some argue globalisation can drive environmental improvement through:

- **Technology transfer:** renewable energy technology (solar panels, wind turbines, EVs) spreading globally through trade and FDI. China now manufactures 80% of the world's solar panels; global solar costs fell 90% between 2010 and 2023.
- **Consumer pressure:** globally connected consumers can pressure TNCs to improve supply chain sustainability. Unilever's deforestation-free commitments, Apple's renewable energy pledge (100% renewable electricity since 2018), and Patagonia's supply chain transparency are examples.
- **International agreements:** the Paris Agreement, Montreal Protocol (successfully reduced ozone-depleting substances), and CITES (trade controls on endangered species) show international cooperation is possible.

- **Green finance:** ESG (Environmental, Social, Governance) investing has grown to \$35 trillion of assets under management globally, directing capital toward environmentally responsible businesses.

The Environmental Kuznets Curve

The Environmental Kuznets Curve (EKC) hypothesis suggests that as countries develop economically, environmental degradation first increases (as industrialisation takes off) then decreases (as wealthier societies demand cleaner environments and can afford clean technology). This "inverted U" relationship implies that globalisation-driven growth eventually leads to environmental improvement. Evidence: UK air quality has improved dramatically since peak industrialisation; US rivers are cleaner than in the 1970s; Germany leads in renewable energy. However, critics argue: the EKC may only apply to local pollutants (air, rivers) not global ones (CO₂); wealthy countries may simply export their pollution to poorer countries (pollution haven effect); there is no guarantee countries will reach the "clean" phase before causing irreversible damage; and climate change may not follow the EKC pattern.

Exam Tip: The relationship between globalisation and the environment is a classic "evaluate" topic. The strongest answers will recognise that globalisation has both driven environmental destruction (through increased resource extraction, energy consumption, and pollution linked to global supply chains) AND created tools to address it (technology transfer, international environmental agreements, consumer pressure on TNCs). The key variable is governance: without international agreements, carbon pricing, and environmental regulations, globalisation's environmental default is damaging. Use specific data: global emissions up 68% since 1990 despite international climate agreements; BUT global solar costs down 90%; renewables now cheapest new electricity source in most countries.